



Loan Eligibility and Application Criteria

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Loan Application Requirements

A person who wishes to be granted a loan from the Housing Fund shall make an application to the **Corporation (NHC)** accompanied by the following documents:

Document	Requirement
Application Form	Duly filled by the applicant
Pay-Slips	Certified copies for the immediate last three months (by accounting officer)
Bank Statements	Certified current bank statements for the last six months
Identification	Certified copy of National ID Card or Passport

Document	Requirement
Application Fee	Non-refundable fee of KES 1,000 (or as determined by the Corporation)

Loan Evaluation Criteria

The Corporation shall use the following criteria when evaluating a loan application:

Criteria	Description
First-In-First-Out	Loan processing on a first-come-first-served basis
Loan Threshold	Applicable loan threshold for each grade of beneficiary
Compliance	Compliance with application requirements (reg. 15(3))
Repayment Capacity	Ability to repay the loan within existing statutes and stipulated time
One Loan Policy	No borrower shall be eligible for more than one loan at a time from the Housing Fund within a five-year period
Other Conditions	Any other conditions as specified by the Corporation

Disbursement Conditions

During the loan repayment period, the beneficiary shall:

Condition	Description
No Sale/Lease	Not lease, sell, or part with possession of the charged house without prior written consent of the Corporation
Insurance	Meet costs for the insurance cover, if any
Maintenance	Maintain the house in a satisfactory state of repair

Condition	Description
Legal Documentation	All legal documentation and disbursement of funds shall be with the Corporation

Interest Rates

 **Social Housing**
Up to 3%
per annum

 **Affordable Housing**
Up to 6%
per annum

 **Market-Rate Housing**
Up to 9%
per annum

 **All interest is charged on a *reducing balance* basis.**

Loan Charges and Fees

A person granted a loan shall be responsible for charges and fees determined by the Corporation in relation to:

Charge / Fee	Description
Preservation of Value	Preservation of the value of the Housing Fund
Management Costs	Management of the loan and account
Insurance	Both life and asset insurance
Facility Management	Facility management costs



Quick Summary

Application Fee: KES 1,000 (non-refundable) | **Processing:** First-In-First-Out | **One Loan Policy:** One loan per 5-year period
Interest Rates: Social (3%) | Affordable (6%) | Market (9%) | **Basis:** Reducing balance

END OF DOCUMENT

Prepared by the State Department for Housing and Urban Development, Kenya
For more information, visit the **Boma Yangu** portal.